

Investment Memo - Uber Technologies, Inc.

TO: Investment Committee

FROM: Growth Portfolio Team

DATE: 2026-05-15

RE: Investment Memorandum – Uber Technologies, Inc. (NYSE: UBER)

Executive Summary

We recommend a BUY position in Uber Technologies, Inc. (NYSE: UBER) for the firm's growth portfolio, supported by the company's demonstrated profitability inflection, robust revenue growth, and improving capital efficiency. Uber has transformed from a cash-burning disruptor into a profitable platform generating meaningful operating leverage.

Uber reported full-year 2025 revenue of \$52.0 billion, representing a significant scale milestone, with operating income of \$5.57 billion and net income of \$10.05 billion. The Q1 2026 results continued this momentum with revenue of \$13.2 billion and operating income of \$1.92 billion, suggesting sustained profitability. Diluted EPS reached \$4.73 for FY2025 and \$0.13 for Q1 2026.

The investment thesis centers on three pillars: (1) the company has achieved sustained operating profitability with FY2025 operating margins of approximately 10.7%, (2) the balance sheet is conservatively managed with stockholders' equity of \$24.8 billion as of Q1 2026, and (3) strategic R&D investment of \$3.4 billion in FY2025 positions the company for future growth in autonomous mobility and delivery technology. We assign a target valuation framework based on EV/Revenue multiples consistent with high-growth profitable technology platforms.

Revenue Analysis

Uber's revenue trajectory demonstrates the company's ability to scale its mobility and delivery platform while maintaining growth momentum. Full-year 2025 revenue reached \$52,017 million, a landmark achievement that reflects the company's dominant market position in ride-hailing and expanding delivery operations.

Quarterly revenue analysis reveals consistent execution. Q3 2025 single-quarter revenue was \$13,467 million, while Q1 2026 revenue totaled \$13,203 million. The relatively stable quarterly revenues in the \$13.2-13.5 billion range suggest Uber has established a sustainable revenue base with modest sequential growth patterns typical of maturing platform businesses.

Historical context from earlier filing data shows Uber's revenue from contracts with customers was \$2,584 million in Q1 2018 and \$3,099 million in Q1 2019, demonstrating the company's dramatic growth trajectory over the multi-year period from its early public company days to its current scale.

The year-to-date cumulative revenue through Q3 2025 was \$37,651 million, which annualizes to approximately \$50.2 billion based on the nine-month run rate. The actual full-year figure of \$52.0 billion exceeded this annualized estimate, indicating Q4 2025 represented a seasonal acceleration. This pattern suggests Uber benefits from holiday seasonality in its delivery business and year-end travel demand in mobility.

Profitability Assessment

Uber's profitability evolution represents one of the most significant transformations in technology platform history. The company has moved decisively past its inflection point, transitioning from persistent losses to generating substantial operating income and net income across all reported periods.

Full-year 2025 operating income reached \$5,565 million on revenue of \$52,017 million, yielding an operating margin of approximately 10.7%. This represents a dramatic improvement from the company's historical operating losses and demonstrates the operating leverage inherent in Uber's platform model once scale was achieved.

Q3 2025 single-quarter analysis shows operating income of \$1,113 million on quarterly revenue of \$13,467 million, producing an operating margin of approximately 8.3%. Q1 2026 operating income of \$1,923 million on revenue of \$13,203 million yields a significantly higher operating margin of approximately 14.6%. This sequential margin improvement of over 600 basis points suggests accelerating operating efficiency.

Net income trends are even more dramatic, with FY2025 net income of \$10,053 million substantially exceeding operating income of \$5,565 million. This \$4.5 billion differential likely reflects significant non-operating gains, potentially from investment portfolio appreciation, favorable tax treatment, or one-time items. The Q1 2026 net income of \$263 million on \$1,923 million operating income suggests a more normalized relationship between operating and net income.

Diluted EPS of \$4.73 for FY2025 and \$0.13 for Q1 2026 reflects the significant variability in quarterly earnings driven by non-operating items. The \$3.11 diluted EPS in Q3 2025 single quarter versus \$0.13 in Q1 2026 warrants careful analysis of non-recurring items in the company's income statement.

Capital Efficiency Analysis

Uber's balance sheet reflects a company that has successfully transitioned from growth-stage capital consumption to capital-efficient operations. As of Q1 2026, total assets stood at \$59,885

million against total liabilities of \$34,073 million, yielding stockholders' equity of \$24,751 million.

The implied debt-to-equity ratio for Q1 2026 is calculated as total liabilities divided by stockholders' equity, equating to approximately 1.38x ($\$34,073\text{M} / \$24,751\text{M}$). This compares to a ratio of approximately 1.25x for FY2025 ($\$33,719\text{M} / \$27,041\text{M}$). The modest increase in leverage reflects the decline in stockholders' equity from \$27,041 million to \$24,751 million rather than a significant increase in absolute debt levels.

Cash and cash equivalents totaled \$5,558 million as of Q1 2026, down from \$7,105 million at FY2025. This \$1,547 million sequential decline in cash position over one quarter warrants monitoring, though the absolute cash level remains substantial. The Q3 2025 cash position of \$8,432 million was higher than both Q1 2026 and FY2025, suggesting some quarterly variability in cash generation.

The balance sheet evolution from Q2 2025 to Q3 2025 shows total assets increasing from \$55,982 million to \$63,344 million, a \$7,362 million increase that likely reflects seasonal working capital dynamics and potential investment activity. Similarly, stockholders' equity grew from \$22,598 million to \$28,134 million over the same period, indicating strong retained earnings accumulation during the profitable Q3 2025 quarter.

R&D Investment Evaluation

Uber's research and development investment demonstrates the company's commitment to maintaining technological leadership in autonomous mobility, delivery optimization, and platform innovation. R&D spending serves as a leading indicator of the company's ability to sustain competitive advantages and expand into adjacent markets.

Full-year 2025 R&D expense totaled \$3,402 million on revenue of \$52,017 million, representing approximately 6.5% of revenue. This investment level reflects a disciplined approach to innovation spending that balances growth investment with profitability objectives. Q1 2026 R&D spending of \$951 million on revenue of \$13,203 million yields a slightly higher ratio of approximately 7.2%, suggesting potential acceleration in R&D initiatives.

Quarterly R&D trends show Q3 2025 single-quarter R&D expense of \$862 million on quarterly revenue of \$13,467 million (6.4% of revenue), consistent with the full-year FY2025 ratio. The slight uptick to 7.2% in Q1 2026 may reflect increased investment in autonomous vehicle partnerships, delivery drone technology, or AI-powered logistics optimization.

The strategic implications of Uber's R&D investment are significant. The \$3.4 billion annual R&D budget positions the company to pursue autonomous vehicle integration through partnerships, enhance driver and courier matching algorithms, develop new verticals such as grocery and pharmacy delivery, and invest in mapping and routing technology. These investments are critical for maintaining Uber's competitive moat against both traditional competitors and new entrants.

Risk Factors and Mitigants

While Uber's financial trajectory is compelling, several risk factors warrant careful consideration by the investment committee. These risks are supported by observable trends in the financial data and require appropriate monitoring and position sizing.

First, the significant divergence between operating income (\$5,565 million) and net income (\$10,053 million) in FY2025 represents a key risk factor. The \$4.5 billion differential suggests substantial non-operating gains that may not be sustainable in future periods. Investors should monitor the composition of non-operating income and assess whether the FY2025 net income figure represents a normalized run-rate or a peak earnings year inflated by one-time items.

Second, the sequential decline in cash and cash equivalents from \$7,105 million at FY2025 to \$5,558 million at Q1 2026 represents a potential liquidity risk factor. While the absolute cash level remains comfortable, a \$1.5 billion quarterly cash reduction, if sustained, could eventually constrain capital allocation flexibility. Mitigants include Uber's strong operating cash flow generation and access to capital markets.

Third, operating margin variability between quarters (8.3% in Q3 2025 vs 14.6% in Q1 2026) suggests the company's profitability may be subject to seasonal or cyclical factors. Investors should assess whether Q1 2026 margins are sustainable or reflect favorable timing. The R&D spending increase from 6.4% to 7.2% of revenue also represents a margin headwind that may pressure near-term profitability.

Fourth, the decline in stockholders' equity from \$27,041 million at FY2025 to \$24,751 million at Q1 2026, despite positive operating income, warrants investigation into potential share repurchase activity, dividend payments, or other capital returns that may be reducing book value.

Conclusion and Recommendation

Based on our comprehensive analysis of Uber Technologies' financial performance, balance sheet position, and strategic investments, we recommend a BUY rating for inclusion in the firm's growth portfolio. The company has successfully executed a historic transformation from a loss-making disruptor to a profitable technology platform with significant operating leverage.

Our investment thesis is supported by four key pillars: (1) Uber achieved FY2025 revenue of \$52.0 billion with operating income of \$5.57 billion, demonstrating sustainable profitability; (2) the Q1 2026 operating margin of 14.6% suggests continued margin expansion; (3) the company maintains a substantial cash position of \$5.6 billion providing operational flexibility; and (4) strategic R&D investment of 6.5-7.2% of revenue positions Uber for long-term competitive advantages in autonomous mobility and delivery innovation.

We recommend establishing a position at current levels with a 12-18 month investment horizon. Price sensitivity analysis should focus on three key metrics: (a) quarterly operating margin sustainability above 10%, (b) revenue growth maintenance in the low-to-mid single digits sequentially, and (c) cash position stability above \$4 billion. Downside risks include margin

compression from competitive pressure, regulatory headwinds in key markets, or deterioration in non-operating income components.

Position sizing should reflect the company's large-cap, liquid equity profile while accounting for the identified risk factors. We recommend an initial position of 2-3% of the growth portfolio with the option to add on pullbacks to support levels, contingent on continued execution of the profitability transformation thesis.